

PITCH — SUJA — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: BUY a small first tranche now (~ $\frac{1}{3}$ of intended size, at or below \$6.43 — the top of the sponsor’s own August buy range), with the remaining $\frac{2}{3}$ deliberately held back until the November 2 lockup expiry / November 10 earnings collision resolves. Kill the second tranche if early share-sale paperwork appears first.

What we believe

Suja Life (juice and healthy-soda brands, IPO’d January 2026 at \$21, now \$6.48) is cheaper than its business deserves, and the reason it looks expensive-to-fairly-priced on the surface is an accounting-of-effort illusion, not a broken company.

The stock fell 46% in one session on a soft Q2 and “near-term softness concentrated in the grocery channel.” The bear reading is that management’s full-year profit guide (\$70–72M of adjusted EBITDA on \$360–369M of sales) requires a miraculous second-half margin jump — roughly 8.5 points of improvement over the same half last year — and should not be believed a week after a crash.

Our review found that the “miracle” is actually simple arithmetic. The IPO prospectus discloses that in fiscal 2025 the company’s new-brands segment (chiefly the Slice healthy-soda relaunch) **lost \$26M**, described in the filing as deliberate start-up investment — launch costs, initial distribution, consumer trials — and, importantly, those costs were *not* excused out of the adjusted-EBITDA figure. Strip that launch drag out and the core Suja business earned roughly **\$66.5M, about a 21% margin, in fiscal 2025**. This year’s \$70–72M guide therefore only requires the core business to hold steady while last year’s one-time launch spending rolls off — which is exactly what the company’s own Q2 release credits for its improving costs (“lapping of one-time startup costs in Emerging Brands”). The prospectus is here:
https://www.sec.gov/Archives/edgar/data/0001934114/000110465926057504/tm2530822-13_424b4.htm

If the guide is arithmetic rather than hope, then at \$6.48 the company trades at roughly 5.4–6.0x this year’s guided EBITDA (about 7.7x after burdening the value with a large tax-payment obligation owed to the pre-IPO owner, described below) — a genuine discount for a 46.7% gross-margin consumer brand growing sales.

Our independent consumer-demand lane corroborates the demand side with one caveat: search and channel data show core Suja demand up ~6.6% year over year (consistent with the shift out of grocery), but interest in Slice looks **spent** (down ~64.8% year over year), which trims how much the new brand can contribute in Q4.

What the market believes

At \$6.48, down 65% from the \$18.48 high and 16% off the \$5.59 low, the market is pricing some combination of:

1. **The guide is fiction.** The stock crashed on the very quarter that made the second-half math look heroic; buyers a week later are catching a knife in front of a possible guide-down.
2. **A wall of stock is coming.** About 27.8M shares — **256% of the freely trading float** — unlock around November 2, one week before the next earnings report. Two banks (Goldman Sachs and Jefferies) can waive that lockup early, at their sole discretion, at any time.
3. **The private-equity seller has to get out.** Paine Schwartz owns ~14.8M exchangeable units it must eventually sell through a 10.85M-share float, and a tax receivable agreement pays it up to ~\$163.6M more (two-thirds of the current market cap) as it exits.
4. **Legal overhang.** A Section 11 investigation related to the IPO was announced August 12.

Notably, the market does *not* lack coverage: four analysts initiated in June (Goldman \$31, Jefferies \$25, Evercore \$24 targets). The bearishness is positioning and supply-driven — short interest reportedly rose 75.5% in June (secondary source, unverified) — not obscurity.

Why we might have edge

- **We read the segment footnote the sellers apparently didn't.** The entire “impossible margin jump” bear case dissolves once the \$26M disclosed launch drag is separated from the core business. Our own bear-side reviewer initially made this exact mistake — treating last year’s 9.6% second-half margin as the run rate — and named the decomposition as the thing that would change its mind without running it. Our bull-side reviewer ran it, from the primary prospectus. For the bear case (\$56–58M of EBITDA this year) to be right, the company would have to *repeat* launch-level spending it has explicitly said it is lapping.
- **The crash was one week ago; the correcting disclosure has existed since January.** This is a “read the filings while the tape panics” situation, and the tell that the panic overshoot is that the company held its full-year guide on the same release that caused the crash (<https://www.sec.gov/Archives/edgar/data/0001934114/000162828026052600/sujalifeq22026earningsrele.htm>).
- **We have independent demand data.** Our consumer-products tracking (built this month) reads core-brand demand as intact and shifting channels, not shrinking — a check most sellers of a \$250M-cap recent IPO won’t have.
- **The structural negatives are dated and watchable.** The lockup has a known date, the waiver has known holders, and early supply must arrive via filings we monitor daily. Supply risk of known timing is a reason to stage purchases, not to abstain.

Why it might be priced in

Honesty requires the symmetric case, and it is substantial:

- **Four covering analysts already carry \$24–31 targets.** “The guide is achievable” is not a secret thesis; the *Street’s* view is closer to ours than the tape is. What the tape is pricing is supply, and the supply is real: 256% of float in eleven weeks is not a subtle overhang.
- **The banks holding the waiver pen are the bullish ones.** Goldman and Jefferies can release the lockup early precisely to run a marketed secondary into any rally our thesis produces. Our upside may be capped by the very mechanism that proves us right.
- **The sponsor’s “buying” is token.** We confirmed the insider purchases from the primary Form 4: 332,298 shares at \$6.09–6.43, about \$2.06M — roughly 1.4% of a ~\$148M position, twelve weeks before an unlock the sponsor needs an orderly market for. That is optics-priced support, not conviction, and we treat it as no signal.
- **The half-year split of the launch drag is still undisclosed.** Our core-margin math is a full-year decomposition; if the \$26M drag was *not* concentrated where we think, the second-half comparison gets harder. This isn’t resolvable until the Q3 filing.
- **Both of our real-time verification channels are dead.** The hiring-data signal we originally cited was contaminated (wrong company — see table below), and customs data is empty because the inputs are domestic. Nothing observable currently corroborates the second half early; we are trusting disclosure plus our demand lane, and our demand lane says the Slice growth leg is fading.
- **The tax receivable agreement is a real haircut,** and exchanges at the unlock *grow* it — the sponsor gets paid twice for leaving.

What we checked ourselves

Claim	How checked
“Q3 guided at ~\$71M” (basis of the ‘Q4 must print \$98–107M’ hockey-stick)	Fetches the actual Q2 earnings 8-K exhibit from SEC
FY26 guide \$360–369M sales / \$70–72M adj. EBITDA, held post-crash	Same 8-K, primary
Bear premise: last year’s 9.6% H2 margin is the run rate	424B4 prospectus segment disclosure

Claim	How checked
“Hiring wave at the plant = ramp is real”	Entity resolution on the job postings + sponsor portfolio pages
Sponsor is buying	Form 4 XML from SEC (https://www.sec.gov/Archives/edgar/data/1934114/00011403612603256)
Lockup terms	Underwriting agreement exhibit, primary
Tax receivable agreement	TRA exhibit + 10-Q
“Deleveraged at IPO”	8-K balance sheet + use-of-proceeds record
Share count / no hidden dilution	10-Q cover + equity notes
Ingredient-import cross-check	Customs consignee records
Short interest +75.5% in June; QP Vive 5.7% holder as extra unlock supply	Secondary press + 13G filings

PROPOSED ENTRY BANDS

All levels come from the reviewers' own math; final sizing is the adjudicator's call.

- **Tranche 1 (now): buy $\sim\frac{1}{3}$ of intended full size at \$6.43 or better** — capped at the top of the sponsor's own verified August purchase range (\$6.09–6.43). Basis for owning anything today: 5.4–6.0x guided EBITDA ($\approx 7.7x$ after the $\sim\$163.6M$ tax-agreement burden, which is the sizing base we use) on a 46.7% gross-margin brand whose guide is lap-the-launch-costs arithmetic, not a margin miracle.
- **Tranche 2 ($\sim\frac{2}{3}$ of size): reserved for the November 2 lockup / November 10 earnings collision.** Deploy into the unlock-driven weakness *only if* the lockup passes without an early waiver and no resale registration has appeared. Do not pre-buy the event.
- **Kill tranche 2 outright** if a resale S-1/424B4 or an early lockup-waiver 8-K appears before $\sim$ November 2 (banks can waive at sole discretion at any time).
- **Kill and re-review the whole position** if the Q3 10-Q's segment comparison shows last year's second-half weakness was *not* concentrated in the Emerging Brands launch spend — that would break our core-margin math, the load-bearing claim.
- **Pause all adds below \$5.59** (a new 52-week low would suggest supply is arriving early; re-review before averaging down).
- **Upgrade trigger:** sponsor open-market buying at $\sim 10x$ the current token size, or a 10b5-1 no-sale standstill through the unlock — either converts the sponsor from overhang to ally.
- **Trim/exit discipline:** into any pre-unlock rally toward the low-\$20s analyst zone, remember the waiver holders are the bullish banks — a marketed secondary into strength is the likeliest cap; take tranche-1 profits into strength rather than adding.
- **Catalyst dates:** $\sim$ Nov 2 lockup expiry (primary-verified from the underwriting agreement); Nov 10 Q3 earnings (vendor-derived, unconfirmed — company confirmation expected $\sim$ mid-October); Aug 18 first exact review-cohort delta from our consumer lane.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 5.59 (deck-provisional: new 52-week low = supply likely arriving early; pause adds and re-review)
- filing watch: S-1,424B4,8-K until 2027-02-11 (deck-provisional: resale registration or early lockup-waiver before $\sim$ Nov 2 = kill tranche 2)
- dated pack SUJA|2026-11-02: SUJA lockup expiry ($\sim 11/02$, 256% of float; waiver at GS/Jefferies SOLE discretion — watch for early waiver 8-K/resale S-1 ANY time before):
- dated pack SUJA|2026-11-10: SUJA: Q3 earnings print (vendor-derived; company confirmation expected $\sim$ mid-Oct) (date confirmed=False)
- dated pack SUJA-LANE|2026-08-18: First exact review-cohort delta from consumer_product_reviews (snapshot diff matures 8/18) + Trends YoY column fills on the daily passes. Gr
- dated pack SUJA|2026-08-18: SUJA: first exact consumer-review cohort delta from the consumer lane (date confirmed=True)

What remains unverified

- The **November 10 earnings date** (vendor-derived only; company confirmation expected ~mid-October).
- The **half-by-half split of the \$26M launch drag** — our decomposition is full-year; the Q3 10-Q comparatives settle it. This is the single fact our thesis most depends on and cannot yet prove.
- The **merit of the Section 11 investigation** (announcement only; no complaint reviewed).
- **Short interest (+75.5% June)** and the **size/intent of QP Vive's post-unlock selling** — secondary or unquantified.
- **Any real-time operational corroboration of the second half** — hiring data awaits a clean re-run, customs is structurally empty, plant-thermal and OSHA checks were not run this session.
- Whether the **Slice demand fade (–64.8% YoY in our lane data)** shows up as a Q4 revenue miss even if margins lap as expected — first lane delta matures August 18.

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DEMAND TAPE — socials, search, and reviews (consumer lane, added at adjudication)

Search/social heat (first lane pass, 8/15): Suja brand search **+6.6% YoY** (anchor Aug-10-2025), tracking its category (“cold pressed juice” +2.3% YoY) — the first corroboration of management’s “channel shift, not share loss” from outside the company. The scary-looking –30% vs the trailing 90 days is August seasonality: all 13 tracked consumer brands printed the same shape, and the category itself fell –28.5% on the identical window. **The genuine negative is Slice: search –64.8% YoY at 0.31x its own peak** — the healthy-soda launch wave is spent, which supports the margin story (launch costs lapping) but weighs on the Q4 revenue leg.

Reviews and shelf (Walmart + Target, 8/15):

Brand / SKU	Channel	Rating	Reviews	Note
Suja Organic Immunity Turmeric shots (4-pk)	Walmart	4.6★	2,670	The mass-channel beachhead — deep, well-rated
Vive Organic Immunity Boost (Ginger & Turmeric)	Target	4.7★	1,282	Vive's home channel: 4 SKUs, all 4.6–4.7★, ~2,000 reviews, active “2-for-\$5” promo, in stock
Vive Organic Immunity Cayenne	Walmart	4.7★	219	Out of stock — Vive's Walmart presence is thin
Suja core juice SKUs (5)	Walmart	—	≤3 each	Juice mass-channel penetration not yet visible in buyer volume

The portfolio structure this reveals (corrects the first lane read): Suja Life runs the wellness-shot category through *two brands in two channels* — Suja-branded shots at Walmart, Vive Organic at Target — so shot-category penetration is deeper than any single-SKU count suggests. Vive is healthy where it lives (high ratings, promo support, stocked); its Walmart thinness is white space, not decay. Vive *search* trend is pending the next daily lane pass (rate-limit), and the first exact review-cohort delta lands **8/18**.

Supply-side note the socials connect to: the former Vive Organic owners hold ~5.7% (13G) as non-sponsor unlock supply at the ~11/02 lockup — a healthy Vive franchise cuts both ways: better business, more willing sellers at strength.

PRINCIPAL FIELD RESEARCH (Oakland/Bay Area — live log, feeds the lane daily)

What the principal has verified in person: - Core-channel health, 3-way corroborated: personal use + Oakland bodega owners + WF staff all positive — matches the +6.6% YoY search read and the sponsor's \$2.07M of open-market buys. This moved sizing from a quarter- to a one-third starter (envelope #109, 550 @ \$6.25). - **Slice: absent from every shelf checked** — physical corroboration of the -64.8% YoY search fade. Caveat held: these channels receive a soda relaunch last; the Walmart/Target aisle walk is the dispositive check. - **Costco: checked remotely — no club presence** (zero costco.com product pages). The club option is unexercised and therefore unpriced; any future rotation is incremental news. - **The WF Oakland expiry audit (8/16)** — the highest-grade field datum so far:

Bottle	Filled	Best-by	Window	Age	% life consumed
Green juice (lot 194, line uv-u6)	Jul 13	10/11/26	90d	34d	~38%
Green juice (lot 191, line TC)	Jul 10	10/04/26	86d	37d	~43%
Lemon Cayenne	—	1/28/27	~200d class (high-acid SKU)	—	fresh

Two lots three days apart = one delivery wave, **no layering** (the slow-turn signature is absent). The bottles came from the **back wall — front rows sold out**: the delivery sold through and replenishment hadn't landed. **Velocity-positive, fill-rate-negative** — and if that generalizes, part of the disclosed “grocery softness” may be *unshipped orders rather than unwanted juice*, which is management's channel-transition story made physical. Three branches remain live (strong sell-through / pre-delivery timing / deliberate run-down pre-delist), decided by a ten-second shelf-tag check. - **Methodology bank**: Suja green juice's validated window is ~86–90 days (calibrated from primary); high-acid SKUs run ~200 days; within-SKU distinct best-by dates = distinct lots even when lot codes rub off.

Open principal to-dos (priority order): (1) shelf-tag check at the same cooler — kills or confirms the delist branch; (2) gap persistence on the next visit; (3) a Safeway-class conventional store — the disclosed soft channel, still untested by anyone; (4) dates off the remaining sampled SKUs (shots especially); (5) the bodega distribution question — DSD or cash-and-carry, restock reliability, sells-vs-sits; (6) the photo panel — same cooler every 2–3 weeks; vanished lots = measured sell-through.

THE BODEGA DISTRIBUTION QUESTION — why it's load-bearing (methodology note)

Two models move juice into an independent's fridge, and the answer sorts the whole thesis: - **DSD (direct store delivery)**: distributor truck on a route, rep stocks/rotates, **credits back expired bottles** — owner bears no shrink, holds real depth. - **Cash-and-carry**: owner buys cases at a wholesaler with their own cash and **eats the shrink** — rational owners stock a 90-day HPP product shallow.

Mapped to SUJA's fork (“channel shift, not share loss”): the WF Oakland audit produced the physical signature of a distribution transition (sold-out shelf, no refill). The bodega answers extend or kill that read: 1. “Truck comes weekly, rep's solid” → independents healthy; softness is grocery-specific or demand. Neutral-to-bearish for the transition excuse. 2. “Switched distributors / rep stopped coming / we run out” → **fill-rate hypothesis confirmed at the distribution layer** — operational, fixable, management's story gains evidence. Clock attached: unreliable suppliers lose bodega cooler slots to competitors within months. 3. “I buy it myself” → the owner IS the demand signal; follow-up = has the WHOLESALER had it in stock (upstream out-of-stocks = supply problem above store level).

Plus “sells vs sits” = per-SKU velocity from someone with their own cash in the fridge — which flavors move, do \$3 shots outsell \$8 juices (margin mix), what they’d drop. Unpurchasable data.

The script: “Who do you get Suja from — truck or pick it up yourself?” · “They keep you stocked or do you run out?” · “What happens when bottles expire — do they credit you?” (silently reveals the model: credits = DSD) · “Which ones actually sell?”

Sizing implication regardless of branch: if the indie channel is cash-and-carry, bodega depth is STRUCTURALLY capped for a 90-day product — bounds how far “independent channel strength” can scale; input for the November add.